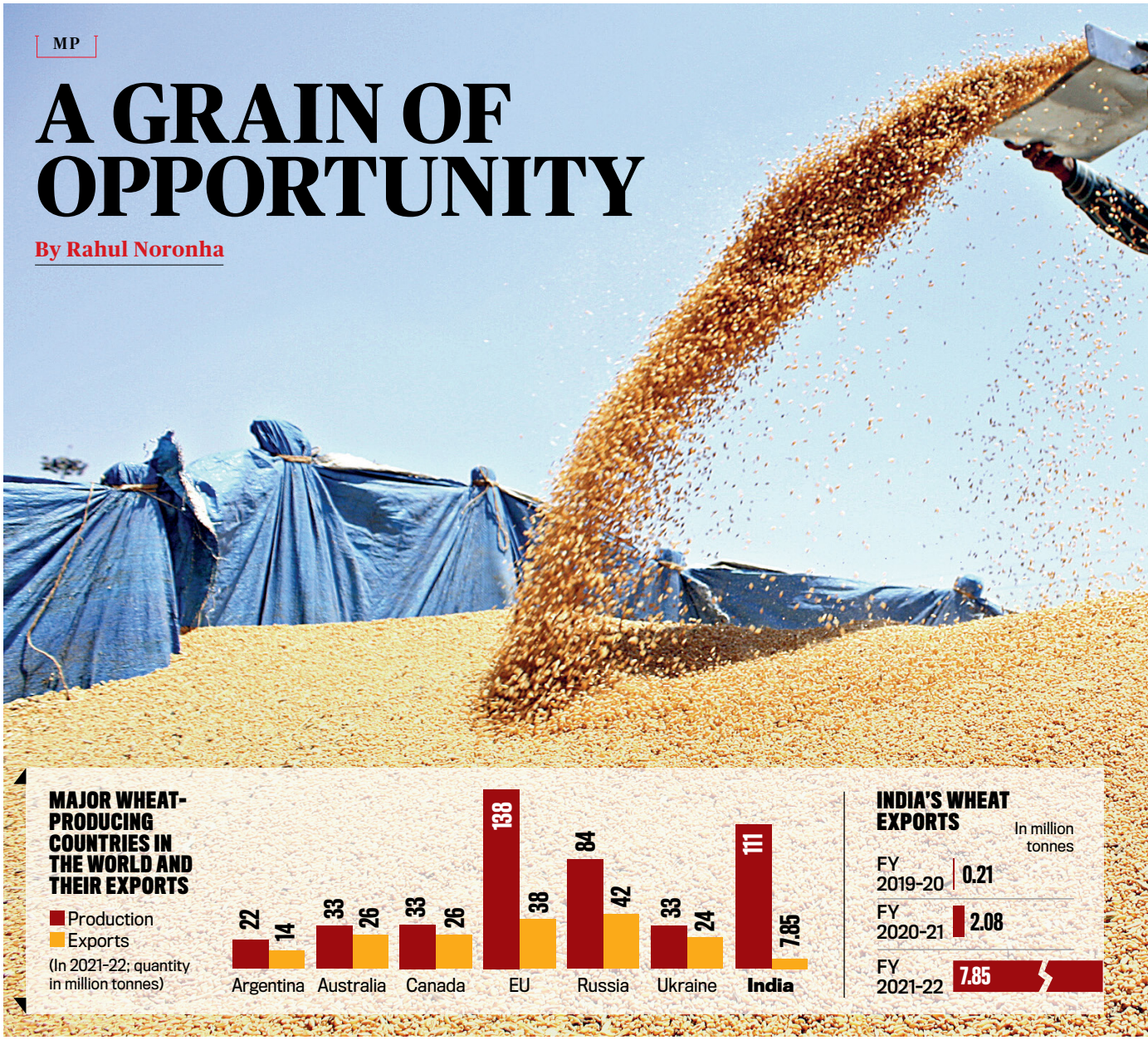
MP

A GRAIN OF OPPORTUNITY

By Rahul Noronha



You perhaps wouldn't expect the war in Ukraine to have an effect in Ujjain. But as March rolled out, Madhya Pradesh chief minister Shivraj Singh Chouhan dialled in Prime Minister Narendra Modi, requesting help in setting up export lines for wheat from his state. The PM brought in commerce minister Piyush Goyal, and the confabulations soon enveloped exporters, the MEA and railways and shipping officials, all very intense and brimming with purpose.

And why not? There is at long last an opening in the global wheat market due to the hostilities between Russia and Ukraine, both big wheat-exporting nations. India, the world's no. 2 wheat producer but a laggard in exports, had every right to grab that proverbial skillet to cook some rotis of its own. By extension, so did MP, with its high-quality wheat. Diverting to exports makes sense for India: farmers will get better prices and public procurement can ease off, clearing perennially overflowing stocks. Encouragingly, private traders have moved into procurement, eyeing the export market. Since mid-March, when early harvest varieties from western MP started arriving at mandis, they have been fetching more than the MSP of Rs 2,015 per quintal. Logistics does present a challenge, as do global quality norms, but it's too good a chance to pass up on: 40-100 per